



Q: Is there a desire to do an IPO and share Zoho's success with public shareholders at some stage?

A: No, I prefer to stay private because even public companies are subject to quarter to quarter pressure. For example, three to four years ago, [our] profit declined 50 per cent because we had invested more heavily into R&D and in expanding [our] data centres. And somebody pointed this out from the government filings. But I didn't pay attention to it as we are investing in years of growth. At a public company, I will have to defend why we are doing this at the expense of profitability.

Q: But you don't see the need for augmenting or you don't consider the valuation of your company that important then?

A: I truly don't care about valuations. What matters is do we have enough resources to invest in the areas we are investing in? Are we growing steadily? Do our products come to fruition? Do we keep our employees happy? Do we keep our customers happy? Those are the concerns I have. And I consider that [not caring about valuation is] a luxury we can afford because we are private. And essentially I get to ignore our shareholders, which is something that most CEOs would love to do, but they cannot do. [But] if I go public, I cannot do this. And valuation is something that I've never paid attention to. If I said this as a venture capital company or a public company, I would not have my job. And that's why we stay private.

| 67

Q: Do you think that [obsessing over valuations] is one of the core problems that is afflicting the digital universe in India today? That they thought of valuations before growing the business. And that is why all these problems are coming up with these unicorns?

A: Absolutely. Take the word unicorn itself, that's considered a billion dollars in valuation. But valuations could come and go easily. As we saw crypto trading company FTX, a company worth \$32 billion, vanish into zero. So I don't consider these valuations meaningful. When you make valuations the real metric during a stock market bubble—as it happened in the last few years—you get extremely hyper-inflated valuations. And that became the principal objective for the companies. This severely distorts your decision-making [since] you're not running the company to benefit customers or even employees. You can argue that employees have stock options and they benefit from the valuation. Well, they don't. They [stock options] have lock-in periods. So employees cannot sell these shares. Even companies that went public with a six-month lock-in period, didn't get enough opportunity